PORTFOLIO CASE STUDY — FY25–FY26

Architecting Profitability Across Indonesia's *Non-Metro Network*

01 — EXECUTIVE SUMMARY

Where Network Efficiency Meets *Financial Discipline*

Indonesia's Non-Metro logistics network, spanning West Java, Central Java, East Java-Bali-Sulawesi, and Sumatera-Kalimantan, carried a structural cost burden that eroded margin at every node. Across 35+ facilities, rental cost efficiency routinely ran 2–5x above internal benchmarks, with utilization rates critically low at several hubs.

Through a systematic, data-driven network blueprint—combining QGIS spatial analysis, SQL-based volume profiling, and Excel-driven scenario modeling—this initiative **closed underperforming nodes, relocated oversized facilities to right-sized alternatives, and split monolithic hubs** to unlock coverage efficiency.

The result: **a 38% reduction in annualized network rental costs**, a 63% improvement in cost-per-parcel at relocated nodes, and a network architecture that positions the business for profitable scale as volume grows across Indonesia's outer corridors.

SCOPE OF WORK

◈ End-to-End Network Design — First-mile pickup, middle-mile consolidation, last-mile delivery, and cross-docking node optimization across Non-Metro regions

◆ **Facility Lifecycle Management** — Closure, relocation, split, renewal, and new-build decisions tied to lease expirations

◊ **P&L-Linked Network Planning** — Every node decision evaluated against cost-per-parcel, utilization, and rental yield metrics

◉ **Cross-Functional Alignment** — Bridging Operations, Finance, and Real Estate teams on a unified FY25–FY26 network roadmap

02 — THE STRATEGIC GAP

A Network Built for Coverage, Not *Profitability*

The FY25 Non-Metro network was designed during a period of aggressive geographic expansion. While this achieved broad coverage, it left behind a long tail of structurally unprofitable nodes—facilities that could never reach the volume density needed to justify their fixed costs.

⚠

Chronic Underutilization

Multiple nodes operated at under 10% of the company's utilization benchmark. Several facilities in Sumatera and Riau carried significant fixed costs with minimal daily volume throughput, making profitability structurally impossible.

<10%

UTILIZATION AT WORST-PERFORMING NODES

Escalating Cost-per-Parcel

Rental cost per parcel at several Non-Metro nodes ran 2–8x above company targets. One island hub exceeded the benchmark by nearly 8x, driven by seasonal volume imbalance and an oversized facility that was never right-sized for actual throughput.

8x

HIGHEST CPP OVERSHOOT VS. BENCHMARK

Oversized & Redundant Nodes

Former regional consolidation hubs and large cross-docking facilities retained excessive floor space after being downgraded to delivery-only operations, creating dead-cost square footage with no volume upside.

35+

ACTIVE NODES ACROSS 4 CORRIDORS

03 — NETWORK DIAGNOSTIC

Node-by-Node *Assessment*

Selected critical Non-Metro nodes from the FY25 Blueprint diagnostic. Cost and utilization metrics used to prioritize closure, relocation, or retention decisions. Specific figures anonymized for external sharing.

FACILITY	CORRIDOR	SIZE CLASS	VOLUME PROFILE	CPP VS. TARGET	UTILIZATION	DECISION
Hub A	Sumatera Barat	Small	Very Low	7x target	CRITICAL	CLOSE
Hub B	Riau	Small	Very Low	4x target	CRITICAL	RETAIN*
Hub C	Bali	Medium	High (Seasonal)	8x target	CRITICAL	RELOCATE
Hub D	Central Java	Small	Low	2x target	LOW	RELOCATE
Gateway E	East Java	Large	Very High	Within target	GOOD	RELOCATE*
Hub F	Sumatera Utara	Small	Low	3x target	LOW	RELOCATE
Hub G	West Java	Small	Low	2x target	LOW	SPLIT
Anchor H	Central Java	Large	Very High	Within target	OPTIMAL	RETAIN

**Gateway E relocated to right-size the facility despite good CPP, unlocking further savings. Hub B retained due to strategic corridor necessity despite poor economics.*

04 — ARCHITECTURAL SOLUTION

Redesigning the Network for *Structural Profit*

The FY26 Non-Metro network blueprint deployed four interlocking levers, each calibrated to the specific failure mode identified in the FY25 diagnostic. Every decision

was anchored to a simple principle: **no facility should exist without a clear path to cost-efficiency compliance.**

1 Strategic Closures

- **Sumatera Barat Hub** — Closed and volume migrated to a neighboring hub within a 20km catchment radius. The node operated at under 10% utilization. Merging coverage eliminated redundant fixed costs while maintaining service levels in the corridor.
- **North Sumatera Hub** — Closed post-lease expiry. Volume absorbed by a relocated satellite hub, creating a more concentrated and efficient last-mile footprint in the region.

2 Right-Size Relocations

- **Surabaya Gateway (East Java)** — The largest single intervention: relocated from an oversized regional hub to a right-sized facility, reducing floor area by 54% and cutting rental costs by 78%. This single move contributed the largest share of total savings.
- **West Java Corridor Hub** — Relocated and split from an expensive facility to a leaner hub plus a satellite node, reducing the cost base by 86% while preserving coverage density.
- **Bali-Sulawesi Spoke** — Relocated to a smaller facility, cutting rental overhead by 66% for a node serving primarily as a last-mile delivery point.
- **Central Java Former Hub** — A former regional consolidation hub relocated to a right-sized facility. As a delivery-only node post-downgrade, the original floor space was dead cost.

3 Coverage Splits

- **West Java Split** — One oversized hub split into a primary node and a smaller satellite, enabling tighter last-mile routing and reducing dead mileage in low-density corridors.
- **Corridor FM/LM Unbundling** — Multiple hubs split to unbundle first-mile pickup and last-mile delivery coverage zones, improving utilization density at each sub-node.
- **Consolidation Load Redistribution** — A high-volume hub split across three nodes to redistribute consolidation load and prevent single-point capacity bottlenecks during peak seasons.

4 Targeted Expansion

- **Central Java Cross-Dock** — A new small cross-dock facility established to plug a coverage gap in a key corridor, reducing dependency on a distant consolidation hub and shortening delivery lead times.
- **Palembang First-Mile Expansion** — Identified untapped first-mile volume within existing last-mile delivery zones in South Sumatera. Upgraded two nodes toward multifunction capability to capture new revenue without requiring additional real estate.

05 — REGIONAL DEEP DIVES

Four Corridors, *One Blueprint*

West Java

NON-METRO • 11 FACILITIES ASSESSED

Facilities Restructured	3 relocated or split
Key Action	Split & right-size corridor hubs
Largest Single Saving	86% cost reduction at one node
Retained Anchors	5 strategic hubs retained
Strategy	Right-size last-mile spokes; retain first-mile anchors

Central Java & Yogyakarta

NON-METRO • 12 FACILITIES ASSESSED

Facilities Restructured	4 relocated or right-sized
New Facility	1 new cross-dock opened
Key Achievement	Former oversized hubs right-sized
Retained Anchors	4 high-utilization hubs retained
Strategy	Downsize former regional hubs; protect high-util nodes

East Java, Bali & Sulawesi

NON-METRO • 10 FACILITIES ASSESSED

Facilities Restructured	3 relocated or converted
Flagship Move	Surabaya Gateway right-sized
Gateway Savings	78% rental cost reduction
Retained Anchors	4 strategic hubs retained
Strategy	Right-size large hubs; low-cost model for island nodes

Sumatera & Kalimantan

NON-METRO • 12 FACILITIES ASSESSED

Facilities Closed	2 nodes consolidated
Facilities Restructured	3 relocated or right-sized
Key Achievement	Closed nodes with <10% utilization
Revenue Expansion	Palembang first-mile capture
Strategy	Consolidate sparse corridors; expand first-mile capture

06 — PROFITABILITY IMPACT ANALYSIS

Connecting Physical Network Changes to *P&L Improvements*

TOTAL COST REDUCTION

−38%

Non-Metro Network • FY26

PHASE 1 REALIZED

−50%

Closed + Relocated (Actualized)

PHASE 2 PLANNED

−50%

Relocate + Split (Budgeted)

The profitability impact extends well beyond simple rental reduction. Each facility decision was evaluated through a three-layer P&L lens: **direct rental savings**, **operational efficiency gains** from improved volume density, and **revenue protection** through maintained coverage continuity.

The closure of two Sumatera nodes eliminated fixed costs entirely while migrating volume to neighboring hubs that gained density—improving their own cost metrics in a virtuous cycle. The Surabaya Gateway relocation alone was the single largest contributor, right-sizing a large regional hub by 54% and delivering a 78% rental cost reduction while maintaining consolidation capacity for the East Java corridor.

PHASE 1 — REALIZED ACTIONS (NON-METRO)	
Sumatera Hub Closures (2 nodes)	15% of total savings
Sumatera & Kalimantan Relocations	12% of total savings
Java Corridor Relocations (5 hubs)	49% of total savings
East Java & Bali Relocations	18% of total savings
Corridor Splits & Reallocations	6% of total savings
Phase 1 Contribution	50% of total program

PHASE 2 — PLANNED ACTIONS (NON-METRO)	
Surabaya Gateway Relocation	61% of phase savings
West Java Split & Relocation	28% of phase savings
West Java Hub Split	7% of phase savings
Sumatera Relocation	4% of phase savings
Central Java New Cross-Dock	Strategic investment
Phase 2 Contribution	50% of total program

07 — KEY METRICS & ACHIEVEMENTS

Before vs. *After*

ACTIVE NODE COUNT (NON-METRO)

FY25 (BEFORE)

35

Active nodes

→

FY26 (AFTER)

29

Active nodes

-17% rationalized

ANNUAL NETWORK RENTAL COST

FY25 (BEFORE)

Base

Full network spend

→

FY26 (AFTER)

−38%

Reduced network spend

Significant annual savings

COST-PER-PARCEL AT RELOCATED NODES

FY25 (BEFORE)

3x

Above benchmark (avg. worst nodes)

→

FY26 (TARGET)

1x

At benchmark compliance

-63% CPP reduction

FACILITY UTILIZATION (VOLUME DENSITY)

FY25 (BEFORE)

<10%

At underperforming nodes

→

FY26 (TARGET)

60%+

Right-sized node target

3-5x density improvement

08 — DATA VISUALIZATIONS

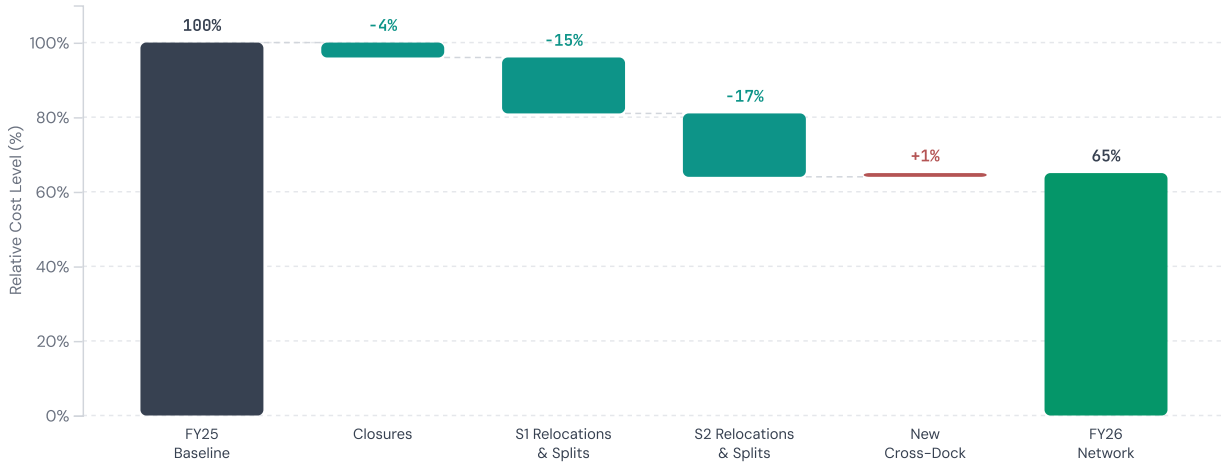
Network Impact *Analytics*

Interactive visualizations built from raw blueprint data across 35 Non-Metro logistics nodes in 4 corridors. Every metric sourced directly from the FY25 diagnostic and FY26 facility recap.

A — COST REDUCTION WATERFALL

Savings *Bridge*: FY25 to FY26

How the 38% rental cost reduction was achieved across four strategic levers. Each bar represents a category of network intervention, from closures that eliminated dead-cost nodes to right-size relocations that cut per-node spend by up to 86%.

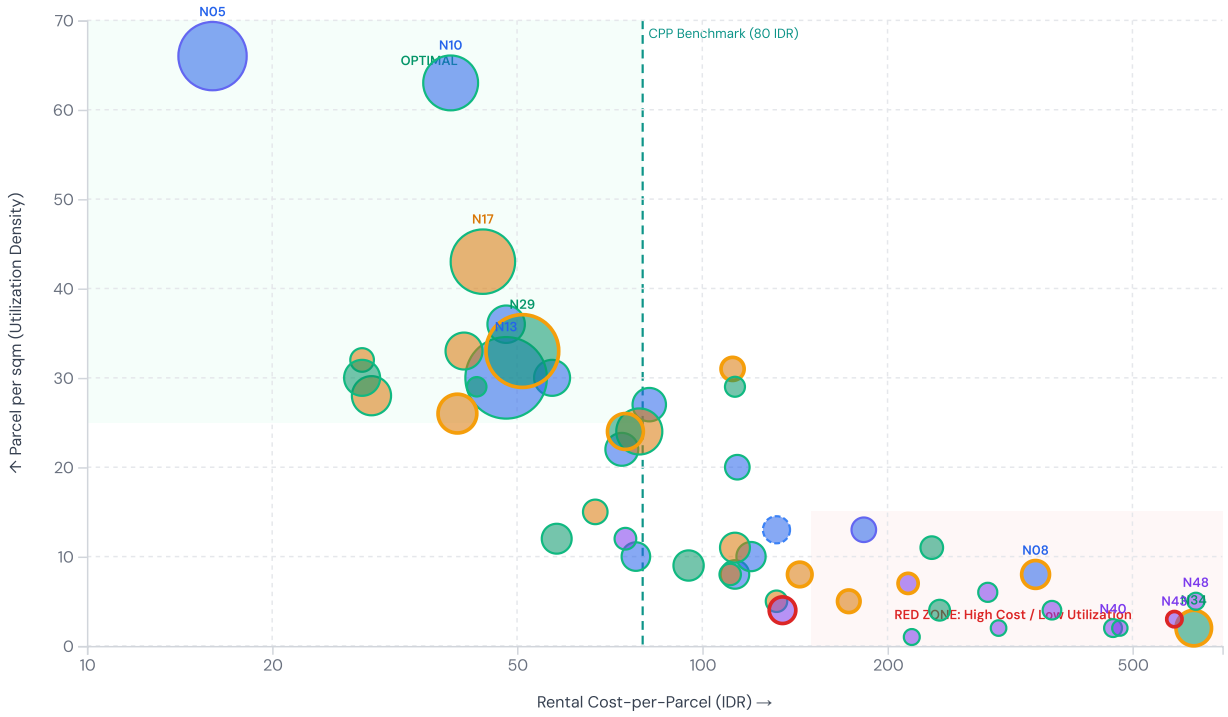


B — NODE HEALTH HEATMAP

Cost-per-Parcel vs. *Utilization Density*

Each bubble represents a Non-Metro facility. X-axis = rental CPP (lower is better), Y-axis = parcel density per sqm (higher is better). The red zone flags structurally unprofitable nodes. Bubble size reflects daily volume (ADV). Stroke color indicates the action taken.

West Java Central Java East Java Sumatera Closed Relocated Split

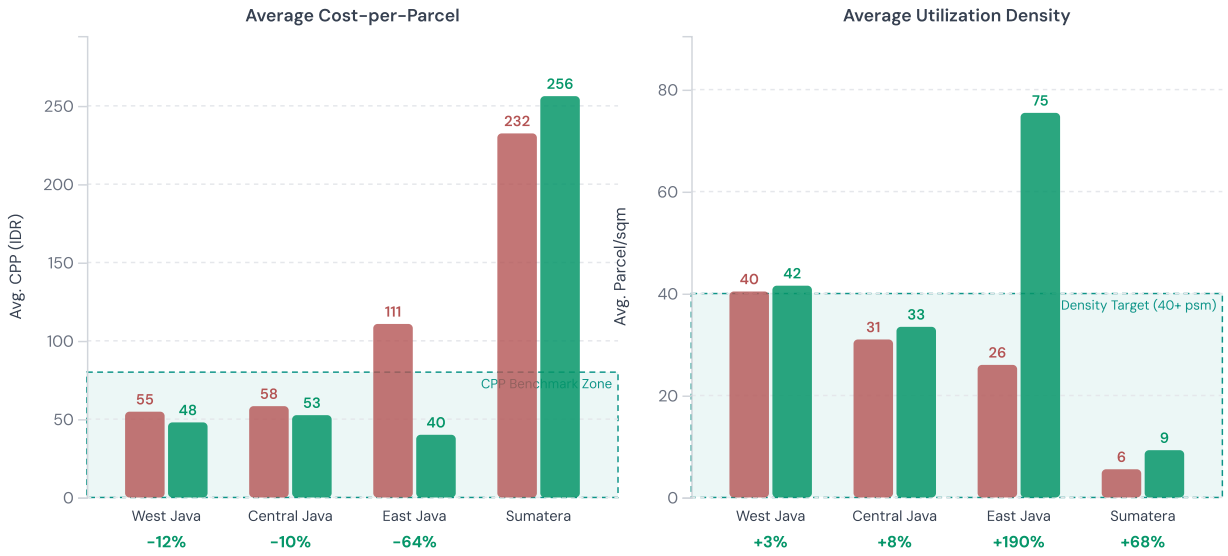


C — CORRIDOR IMPACT ANALYSIS

Before vs. After by *Region*

Volume-weighted average CPP and utilization density across all four Non-Metro corridors, showing the improvement from FY25 baseline to FY26 target state after closures, relocations, and splits took effect.

FY25 Baseline FY26 Target Benchmark Zone



Methodology: All metrics sourced from FY25 ID Network Blueprint diagnostic tables and FY26 Non-Metro facility recap (S1 realized + S2 planned). CPP = Annual Rental / (ADV × 365). Utilization density = ADV / Facility Area. Corridor averages are volume-weighted. Benchmark zones reflect internal PMI targets by facility tier.

09 — TOOLS & METHODOLOGY

The Analytical *Toolkit*

Every network decision was grounded in spatial intelligence, volume analytics, and financial modeling—not intuition. The following tools formed the analytical backbone of this engagement.

⊙ **QGIS Mapping** — Geospatial node placement, coverage radius analysis, and district-level density mapping

◫ **SQL** — Volume extraction, daily throughput profiling, and coverage-to-node attribution across operational databases

☷ **Microsoft Excel** — Blueprint workbook management, scenario modeling for relocation/split decisions, stakeholder-facing financial summaries, and lease expiration tracking

Confidentiality Note: *This case study has been prepared for portfolio demonstration purposes. All specific financial figures, internal facility identifiers, volume data, and proprietary performance benchmarks have been anonymized or expressed as relative percentages to protect commercially sensitive information. The strategic narrative, methodology, and impact framework accurately represent the scope and outcomes of the engagement.*

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